

“5 Marla Double Story Residential Rental Property ROI – Sample”

Property Cost

Property Coast	Purchase Tax	Renovation	Initial Investment
20,000,000	500,000	500,000	21,000,000

Monthly Rental Income (Cash Flow)

Ground Floor Rent	Upper Floor Rent	Total Monthly Rent
45,000	40,000	85,000

Annualy Expenses

Dealer Commission	Annually Paint & Renovation	Annually House Tex	Miscellaneous Expense	Total Annualy Exp
42,500	100,000	25000	25000	192,500

Annualy Rental Income (Cash Flow)

Gross Annualy Rent	Total Annualy Rent
1,020,000	827,500

Initial Rental Yield (Cash) ROI

Total Annualy Rent	Initial Investment	Initial ROI
827,500	21,000,000	4 %

Capital Appreciation (Property Growth): 8% per year

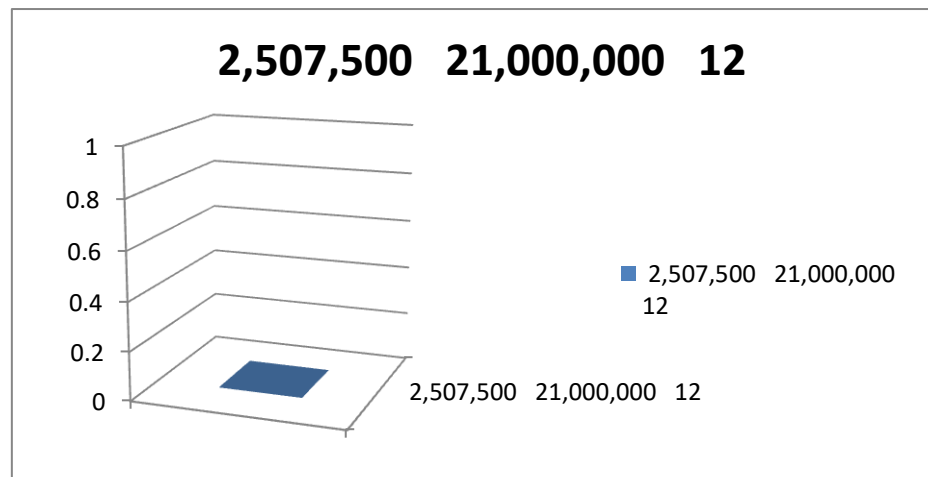
Total Annualy Rent	Capital Gain	Total Annual Return (Rent + Capital Gain)
827,500	1,680,000	2,507,500

True ROI

Total Annual Return (Rent + Capital Gain)	Initial Investment	True ROI
2,507,500	21,000,000	12 %

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True ROI Gragh



ROI Statement

- 1- *“This 5 Marla Double Story House generates an estimated annual TRUE ROI of approximately 12%, including rental income and capital appreciation.”*
- 2- *“Rental yield Pakistan mein residential property par typically 3–5% hoti hai. However, when we include conservative capital appreciation, the true annual return rises to nearly 12%, making this a solid long-term investment.”*

Payback Period
25.4 Years

Note:-

- 1- Higher Rent volume can significantly improve ROI and reduce payback period.
- 2- Figures are estimates and may vary based on sales volume, margins, and operating conditions.

Summary

FINAL CORRECT SUMMARY

Total Investment:	21,000,000
Net Annual Rental Profit:	827,500
Rental Yield: ~4%	4%
Capital Appreciation: 8%	8%
True ROI: ~12%	12%
Payback Period: ~25 Years	25 Years

Explanation

“While the Year-1 rental yield is approximately 4%, rental income is projected to grow at around 10% annually. This escalation significantly improves cash flow over time and shortens the effective payback period , making the investment increasingly attractive in the long term.”

Important

Every Year 10% increase:

“The above ROI is calculated on current rental income. Future rental growth of approximately 10% annually represents additional upside and is not included in the base ROI calculation.”

Year 1	827,500	—
Year 2	910,250	10%
Year 3	1,001,275	10%
Year 4	1,101,403	10%
Year 5	1,211,543	10%